

BALANCE OF PAYMENTS, EXCHANGE RATES AND FOREX RESERVES

BOP ACCOUNTING SPINE → CURRENT-ACCOUNT MAP → CAPITAL-FINANCIAL FORK → CAD FINANCING IDENTITY → TRADE-DEFICIT OFFSETS → CURRENCY QUOTE BOARD

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE • Pending user review • source generation g2 and all prior artifacts unchanged

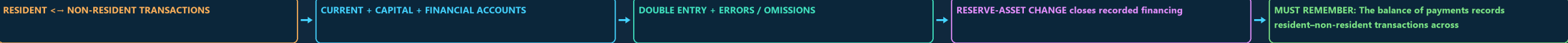
CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles

00

STAGE 00 BOP ACCOUNTING SPINE

BOP ACCOUNTING SPINE RESIDENT ↔ NON-RESIDENT TRANSACTIONS CURRENT + CAPITAL + FINANCIAL ACCOUNTS DOUBLE ENTRY + ERRORS RESERVE-ASSET CHANGE CLOSES RECORDED FINANCING MUST REMEMBER

THE BALANCE OF PAYMENTS RECORDS RESIDENT–NON-RESIDENT TRANSACTIONS ACROSS



CORE CLAIM

- RESIDENT ↔ NON-RESIDENT TRANSACTIONS
- CURRENT + CAPITAL + FINANCIAL ACCOUNTS

MECHANISM

- DOUBLE ENTRY + ERRORS / OMISSIONS
- RESERVE-ASSET CHANGE closes recorded financing

CONSEQUENCE / LIMIT

- MUST REMEMBER: The balance of payments records resident–non-resident transactions across...
- RESIDENT ↔ NON-RESIDENT TRANSACTIONS

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MUST REMEMBER: The balance of payments records resident–non-resident transactions across.

01

STAGE 01 CURRENT-ACCOUNT MAP

CURRENT-ACCOUNT MAP PRIMARY INCOME SECONDARY INCOME PERSONAL REMITTANCES

SECONDARY INCOME → personal remittances

PRIMARY INCOME

CORE CLAIM

- PRIMARY INCOME
- SECONDARY INCOME → personal remittances

MECHANISM

- PRIMARY INCOME
- SECONDARY INCOME → personal remittances

CONSEQUENCE / LIMIT

- PRIMARY INCOME
- SECONDARY INCOME → personal remittances

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: SERVICES; PRIMARY INCOME; SECONDARY INCOME → personal remittances.

02

STAGE 02 CAPITAL-FINANCIAL FORK

CAPITAL-FINANCIAL FORK CAPITAL TRANSFERS NON-PRODUCED NON-FINANCIAL ASSETS FDI + PORTFOLIO + LOANS DERIVATIVES + RESERVE ASSETS

CORE CLAIM

- CAPITAL → capital transfers
- CAPITAL → non-produced non-financial assets

MECHANISM

- FINANCIAL → FDI + portfolio + loans
- FINANCIAL → derivatives + reserve assets

CONSEQUENCE / LIMIT

- CAPITAL → capital transfers
- CAPITAL → non-produced non-financial assets

CORE CLAIM

- CAPITAL → capital transfers
- CAPITAL → non-produced non-financial assets

MECHANISM

- FINANCIAL → FDI + portfolio + loans
- FINANCIAL → derivatives + reserve assets

CONSEQUENCE / LIMIT

- CAPITAL → capital transfers
- CAPITAL → non-produced non-financial assets

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: FINANCIAL → FDI + portfolio + loans; FINANCIAL → derivatives + reserve assets.

03

STAGE 03 CAD FINANCING IDENTITY

CAD FINANCING IDENTITY CURRENT-ACCOUNT DEFICIT NET FINANCIAL INFLOWS RESERVE USE OMISSIONS; QUALITY MATTERS



CAPITAL → capital transfers	FINANCIAL → FDI + portfolio + loans	CAPITAL → capital transfers
CAPITAL → non-produced non-financial assets	FINANCIAL → derivatives + reserve assets	CAPITAL → non-produced non-financial assets
CORE CLAIM • CAPITAL → capital transfers • CAPITAL → non-produced non-financial assets	MECHANISM • FINANCIAL → FDI + portfolio + loans • FINANCIAL → derivatives + reserve assets	CONSEQUENCE / LIMIT • CAPITAL → capital transfers • CAPITAL → non-produced non-financial assets
ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: FINANCIAL → FDI + portfolio + loans; FINANCIAL → derivatives + reserve assets.		

03

STAGE 03 CAD FINANCING IDENTITY		
CAD FINANCING IDENTITY	CURRENT-ACCOUNT DEFICIT	NET FINANCIAL INFLOWS
	RESERVE USE	OMISSIONS; QUALITY MATTERS
CURRENT-ACCOUNT DEFICIT	NET FINANCIAL INFLOWS	OR → RESERVE USE
		PLUS → ERRORS / OMISSIONS; quality matters
CORE CLAIM • CURRENT-ACCOUNT DEFICIT • NET FINANCIAL INFLOWS	MECHANISM • OR → RESERVE USE • PLUS → ERRORS / OMISSIONS; quality matters	CONSEQUENCE / LIMIT • CURRENT-ACCOUNT DEFICIT • NET FINANCIAL INFLOWS
ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: OR → RESERVE USE; PLUS → ERRORS / OMISSIONS; quality matters.		

04

STAGE 04 TRADE-DEFICIT OFFSETS		
TRADE-DEFICIT OFFSETS	MERCHANDISE DEFICIT	NET SERVICES
	PRIMARY INCOME	SECONDARY INCOME
		CURRENT ACCOUNT
CORE CLAIM • MERCHANDISE DEFICIT • NET SERVICES	MECHANISM • PRIMARY INCOME • SECONDARY INCOME → CURRENT ACCOUNT	CONSEQUENCE / LIMIT • MERCHANDISE DEFICIT • NET SERVICES
ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: NET SERVICES; PRIMARY INCOME; SECONDARY INCOME → CURRENT ACCOUNT.		

05

STAGE 05 CURRENCY QUOTE BOARD		
CURRENCY QUOTE BOARD	RUPEES PER US DOLLAR	NUMBER RISES
	DOLLAR COSTS MORE	ALWAYS STATE QUOTE BEFORE DIRECTION
	QUOTE → RUPEES PER US DOLLAR	
NUMBER RISES → dollar costs more	RUPEE → DEPRECIATES	ALWAYS state quote before direction
CORE CLAIM • QUOTE → RUPEES PER US DOLLAR • NUMBER RISES → dollar costs more	MECHANISM • RUPEE → DEPRECIATES • ALWAYS state quote before direction	CONSEQUENCE / LIMIT • QUOTE → RUPEES PER US DOLLAR • NUMBER RISES → dollar costs more
ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: RUPEE → DEPRECIATES; ALWAYS state quote before direction.		

06

STAGE 06 RATE-CHANGE VOCABULARY		
RATE-CHANGE VOCABULARY	OFFICIAL PARITY	OBSERVED CURRENCY PRICE
	RELATIVE-PRICE ADJUSTED	
CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
MARKET → depreciation / appreciation	NOMINAL → observed currency price	MARKET → depreciation / appreciation
OFFICIAL PARITY → devaluation / revaluation	REAL → relative-price adjusted	OFFICIAL PARITY → devaluation / revaluation
CORE CLAIM • MARKET → depreciation / appreciation • OFFICIAL PARITY → devaluation / revaluation	MECHANISM • NOMINAL → observed currency price • REAL → relative-price adjusted	CONSEQUENCE / LIMIT • MARKET → depreciation / appreciation • OFFICIAL PARITY → devaluation / revaluation

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: RUPEE → DEPRECIATES; ALWAYS state quote before direction.

06

STAGE 06 RATE-CHANGE VOCABULARY

RATE-CHANGE VOCABULARY

OFFICIAL PARITY

OBSERVED CURRENCY PRICE

RELATIVE-PRICE ADJUSTED

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
MARKET → depreciation / appreciation	NOMINAL → observed currency price	MARKET → depreciation / appreciation
OFFICIAL PARITY → devaluation / revaluation	REAL → relative-price adjusted	OFFICIAL PARITY → devaluation / revaluation
CORE CLAIM - MARKET → depreciation / appreciation - OFFICIAL PARITY → devaluation / revaluation	MECHANISM - NOMINAL → observed currency price - REAL → relative-price adjusted	CONSEQUENCE / LIMIT - MARKET → depreciation / appreciation - OFFICIAL PARITY → devaluation / revaluation

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: NOMINAL → observed currency price; REAL → relative-price adjusted.

07

STAGE 07 MANAGED-FLOAT RAIL

MANAGED-FLOAT RAIL

MARKET DEMAND + SUPPLY

RUPEE RATE MOVES

MAY SMOOTH EXCESSIVE VOLATILITY

NO DECLARED FIXED TARGET LEVEL



ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: RBI → may smooth excessive volatility; NO DECLARED FIXED TARGET LEVEL.

08

STAGE 08 INTERVENTION-LIQUIDITY MATRIX

INTERVENTION-LIQUIDITY MATRIX

RBI SELLS DOLLARS

RUPEES ABSORBED

RBI BUYS DOLLARS

RUPEES INJECTED

OFFSETS LIQUIDITY EFFECT

COSTS + UNDERLYING PRESSURE

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
RBI SELLS DOLLARS → rupees absorbed	STERILISATION → offsets liquidity effect	RBI SELLS DOLLARS → rupees absorbed
RBI BUYS DOLLARS → rupees injected	LIMIT → costs + underlying pressure	RBI BUYS DOLLARS → rupees injected
CORE CLAIM - RBI SELLS DOLLARS → rupees absorbed - RBI BUYS DOLLARS → rupees injected	MECHANISM - STERILISATION → offsets liquidity effect - LIMIT → costs + underlying pressure	CONSEQUENCE / LIMIT - RBI SELLS DOLLARS → rupees absorbed - RBI BUYS DOLLARS → rupees injected

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: STERILISATION → offsets liquidity effect; LIMIT → costs + underlying pressure.

09

STAGE 09 NEER-REER LADDER

NEER-REER LADDER

BILATERAL RATE

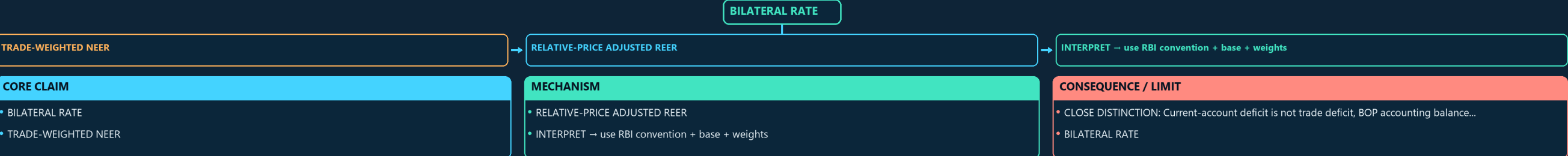
TRADE-WEIGHTED NEER

RELATIVE-PRICE ADJUSTED REER

USE RBI CONVENTION + BASE + WEIGHTS

CLOSE DISTINCTION

CURRENT-ACCOUNT DEFICIT IS NOT TRADE DEFICIT, BOP ACCOUNTING BALANCE



ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Current-account deficit is not trade deficit, BOP accounting balance.

09

STAGE 09 NEER-REER LADDER

NEER-REER LADDER BILATERAL RATE TRADE-WEIGHTED NEER RELATIVE-PRICE ADJUSTED REER USE RBI CONVENTION + BASE + WEIGHTS CLOSE DISTINCTION CURRENT-ACCOUNT DEFICIT IS NOT TRADE DEFICIT, BOP ACCOUNTING BALANCE

BILATERAL RATE

TRADE-WEIGHTED NEER

RELATIVE-PRICE ADJUSTED REER

INTERPRET → use RBI convention + base + weights

CORE CLAIM

- BILATERAL RATE
- TRADE-WEIGHTED NEER

MECHANISM

- RELATIVE-PRICE ADJUSTED REER
- INTERPRET → use RBI convention + base + weights

CONSEQUENCE / LIMIT

- CLOSE DISTINCTION: Current-account deficit is not trade deficit, BOP accounting balance...
- BILATERAL RATE

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Current-account deficit is not trade deficit, BOP accounting balance.

10

STAGE 10 RESERVE-ADEQUACY DASHBOARD

RESERVE-ADEQUACY DASHBOARD IMPORT COVER SHORT-TERM DEBT BROAD MONEY FINANCING NEED MATURITY + CURRENCY + HEDGING + STRESS EVIDENCE LIMIT STATE PERIOD, CURRENCY/UNIT, STOCK OR FLOW

IMPORT COVER

SHORT-TERM DEBT

BROAD MONEY / FINANCING NEED

MATURITY + CURRENCY + HEDGING + STRESS

CORE CLAIM

- IMPORT COVER
- SHORT-TERM DEBT

MECHANISM

- BROAD MONEY / FINANCING NEED
- MATURITY + CURRENCY + HEDGING + STRESS

CONSEQUENCE / LIMIT

- EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: State period, currency/unit, stock or flow...
- IMPORT COVER

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: State period, currency/unit, stock or flow.

11

STAGE 11 EXTERNAL-SECTOR ANSWER SPINE

EXTERNAL-SECTOR ANSWER SPINE CLASSIFY TRANSACTION BY ACCOUNT STATE SIGN STOCK-FLOW CONVENTION TRACE FINANCING + INTERVENTION + LIQUIDITY JUDGE RESILIENCE THROUGH COMPOSITION, NOT HEADLINE

CLASSIFY transaction by account

STATE sign / quote / stock-flow convention

TRACE financing + intervention + liquidity

JUDGE resilience through composition, not headline

CORE CLAIM

- CLASSIFY transaction by account
- STATE sign / quote / stock-flow convention

MECHANISM

- TRACE financing + intervention + liquidity
- JUDGE resilience through composition, not headline

CONSEQUENCE / LIMIT

- CLASSIFY transaction by account
- STATE sign / quote / stock-flow convention

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TRACE financing + intervention + liquidity; JUDGE resilience through composition, not headline.

E

EXTRA SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT BOP IS DOUBLE-ENTRY ACCOUNTING; STATISTICAL DISCREPANCIES REFLECT TIMING, VALUATION FDI IS GENERALLY MORE STABLE AND CONTROL-LINKED THAN PORTFOLIO STERILISED INTERVENTION OFFSETS THE DOMESTIC LIQUIDITY EFFECT OF FOREIGN-EXCHANGE

RESERVE ADEQUACY IS MULTIDIMENSIONAL IMPORT COVER, SHORT-TERM DEBT, BROAD MONEY AND THE IMPOSSIBLE TRINITY CONSTRAINS SIMULTANEOUS EXCHANGE-RATE FIXATION, MONETARY EXTERNAL VULNERABILITY DEPENDS ON CURRENCY DENOMINATION, MATURITY, HEDGING, BORROWER

OPTIONAL SOURCE DEPTH

- CAUTION: BoP is double-entry accounting; statistical discrepancies reflect timing, valuation and
- CAUTION: FDI is generally more stable and control-linked than portfolio flows, though both can
- CAUTION: Sterilised intervention offsets the domestic liquidity effect of foreign-exchange
- CAUTION: Reserve adequacy is multidimensional: import cover, short-term debt, broad money and

ADVANCED DEBATE

- CAUTION: The impossible trinity constrains simultaneous exchange-rate fixation, monetary
- CAUTION: External vulnerability depends on currency denomination, maturity, hedging, borrower
- RBI: compiles BoP statistics, manages reserves and intervenes in foreign-exchange
- Ministry of Commerce and Industry: addresses merchandise and services trade policy

LEGACY / NUANCE

- Department of Economic Affairs: manages external borrowing policy and multilateral
- Authorised dealer banks: execute foreign-exchange transactions under FEMA and RBI
- CAUTION: A merchandise deficit can coexist with a modest CAD when services exports and
- CAUTION: An RBI dollar sale supplies foreign currency but absorbs rupee liquidity unless offset

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.